D04 · Supplier Relationship Management

03 · QBR cadence & governance

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1 WHAT IT IS

Quarterly Business Reviews (QBRs) and supplier governance are the structured executive-level interaction cadence between buyer and strategic supplier — quarterly performance review, joint roadmap progress, escalation resolution, and strategic alignment. They are what differentiates a managed strategic relationship from a transactional commercial arrangement.

2 WHY IT MATTERS

Strategic supplier relationships do not maintain themselves — they require deliberate governance cadence at the appropriate level. **The QBR is the operational forum where strategic alignment happens, performance is owned at the executive level, and issues that would otherwise escalate to crisis are surfaced and resolved**. The research on B2B partnership effectiveness consistently shows **(Dyer & Singh, 1998 — Academy of Management Review, relational view of competitive advantage)**: **structured executive-level governance produces measurably better outcomes than transactional management even when underlying performance metrics are identical**. The cadence creates the alignment; the alignment creates the operational responsiveness; the responsiveness creates the value. Without the cadence, the strategic supplier eventually performs like a leverage supplier.

3 HOW IT IS DONE

1. **Match the governance level to the supplier segment — executive for strategic, operational for leverage.** Strategic suppliers: quarterly executive QBR (VP/CPO level both sides), monthly operational reviews. Leverage: semi-annual category manager reviews. Bottleneck: monthly risk-focused reviews. Routine: annual or exception-based only. The cadence matches the relationship value.
2. **Design the QBR agenda explicitly — and resist the drift to status updates.** Standard QBR agenda: performance review against scorecard (20%), action items from prior QBR (15%), strategic roadmap progress (25%), forward-looking commitments (20%), open issues escalation (20%). The agenda discipline keeps the QBR strategic; without it, the QBR becomes a status meeting that adds no value.
3. **Require executive attendance from both sides — and protect the cadence.** A QBR with the CPO from buyer side and a regional account manager from supplier side is not a QBR; it's a sales call. Executive-level attendance from both sides is what makes the forum substantive. Calendar protection — booked 12 months ahead, never cancelled, only rescheduled in extreme circumstances — signals the relationship's strategic importance.
4. **Document decisions and action items with named owners — and review at the next QBR.** The QBR without documented action items is a meeting that creates no accountability. Decisions, action items, owners, and dates documented in a single page, distributed within 48 hours, reviewed at the start of the next QBR. The continuity is the accountability mechanism.
5. **Use the QBR to share forward-looking visibility — both sides.** The QBR is the right forum for strategic intent sharing: buyer's product roadmap implications for supplier, supplier's capacity and investment plans, joint innovation opportunities. Without this forward-looking dimension, the QBR becomes a backward-looking performance review. The strategic value comes from the forward view.
6. **Run an annual strategic review — beyond the quarterly cadence.** Once per year, the strategic supplier relationship deserves a deeper review — multi-year roadmap, contract renewal positioning, strategic capability assessment, joint investment opportunities. The annual review re-grounds the relationship in strategic context; the quarterly QBR maintains it.

WORKED EXAMPLE — ILLUSTRATIVE

An aerospace prime contractor operates QBR governance across **27 strategic suppliers** representing 68% of direct material spend. The structure: **quarterly QBR** with VP Procurement + VP Engineering (buyer side) and CEO + COO (supplier side for smaller suppliers) or equivalent executive level (for larger suppliers), 90-minute standard agenda; **monthly operational review** between category manager and supplier account director on tactical performance; **annual strategic review** at the supplier executive offsite with full leadership team participation. Year-3 outcomes vs. pre-QBR baseline: **average issue-resolution time dropped from 47 days to 11 days**; supplier-initiated cost-reduction proposals increased from 4 to 31 per year across the 27 suppliers; joint engineering programs increased from 2 to 18 active; one strategic supplier transitioned to dual-sourcing avoided $34M of stranded inventory by surfacing the supplier's capacity constraint 8 months ahead in the QBR forum. **The total cost of the QBR program (procurement and engineering time) approximately $1.4M/year; estimated value capture in joint cost reduction and risk mitigation $18-24M/year**.

IN PRACTICE

Require executive attendance on both sides

A QBR with only operational attendance is an operations review, not a business review. The executive sponsor on each side has to be in the room — the discussion changes when the supplier's VP knows the buyer's VP is there, and the issues that need executive decision actually get decided rather than kicked to the next layer.

Design the agenda explicitly, not by tradition

Performance review, joint roadmap progress, open escalations, forward visibility — each block timeboxed and owned. A QBR that drifts into supplier presentation theater is a QBR that produces no decisions. The agenda is the lever that keeps the meeting in the management mode rather than the showcase mode.

Document decisions and action items with owners

Every decision and every action item exits the room with a named owner, a date, and a follow-up mechanism — and the next QBR opens with the prior QBR's action list. The discipline is unglamorous and consistently the differentiator between governance that compounds and governance that restarts each quarter from the same issues.

Protect the cadence — three cancellations is the signal

A QBR cancelled once is a calendar conflict; cancelled twice is a pattern; cancelled three times in a row is a strategic relationship that the buyer has decided is no longer strategic. Treat the cadence as a leading indicator of relationship health — when the protection breaks, the segmentation has decayed and the operating model needs to be rebuilt.

WHAT YOU WOULD USE

SRM GOVERNANCE / QBR ENABLEMENT TOOLS

Hicx, Ivalua, Coupa SIM (governance modules) — SRM platforms with QBR meeting templates, agenda libraries, action-item tracking, and scorecard integration — strongest for operations running multiple strategic supplier QBRs **(Hicx — vendor; Ivalua — vendor)**.

Microsoft Teams + structured QBR template + OneNote action tracking — The lean integrated approach using Microsoft 365 — structured agenda template, OneNote for action items, Teams for the meeting itself. Lower platform cost; the discipline is in the template and the cadence.

Aha! / ProductBoard for joint roadmap visibility — Product management platforms used to share the buyer's roadmap context with strategic suppliers — strongest where forward-looking visibility is the QBR's strategic value driver **(Aha! — vendor)**.

Structured QBR playbook + calendar protection + named ownership — The discipline matters more than the tooling — a documented QBR playbook with agenda template, attendance requirements, documentation protocol, and protected calendar slots. The structure enables the substance.

4 SO WHAT

The QBR that gets cancelled three times in a row is not a QBR — it's the relationship that no longer exists. Match governance level to supplier segment, design agenda explicitly, require executive attendance both sides, document decisions and action items, share forward-looking visibility, and run an annual strategic review. The plants that protect the QBR cadence at executive level capture the relational value the segmentation framework promised; the plants that allow drift collapse strategic relationships into transactional ones silently.